

Oil Price Trends & Institutional Forecasts

As of September 25, 2026 — Geopolitical risk premium and key institutional views

1. Current Oil Prices (as of September 25, 2026)

Benchmark	Price	1D	1M	3M	YTD	1Y
WTI	\$93.66	-1.00%	+13.90%	+35.29%	+62.41%	+44.14%
Brent	\$106.37	-0.22%	+21.10%	+47.76%	+74.03%	+53.23%

The numbers alone tell the story: oil prices this year have been driven almost entirely by geopolitics. Brent, which was trading in the \$60s at the start of the year, is now near \$106 — a year-to-date gain of 74%.

Note: live quotes can differ slightly by source and by the moment they are pulled — two data points checked for this report (Bigdata.com and ConvexTrade) showed similar price levels but different daily % change figures. Always re-verify live quotes at the actual time of any trading decision.

2. Background: Why Prices Have Surged

The root cause is the US/Israel–Iran war that began on February 28, 2026. The conflict has effectively shut down the Strait of Hormuz — the chokepoint for roughly 20% of the world's seaborne oil trade — sending oil prices on a rollercoaster ride:

- Late February: war breaks out, prices spike immediately; by early March, prices approach \$100–106/bbl (OCBC noted a 15.3% one-day jump to \$106.83/bbl on March 9; some outlets floated scenarios as high as \$119–120, even \$150–200)
- May: a brief pullback on hopes for a ceasefire (the EIA's April outlook had projected a Q2 WTI peak of \$101.67 before easing in the second half)
- June 18: a US–Iran memorandum of understanding (MOU) raises hopes that Hormuz traffic will normalize; several banks, including Citi, cut their forecasts
- July: implementation of the MOU stalls and fears of renewed conflict resurface, effectively re-closing Hormuz; Citi raises its forecast again in August (Q3: \$75→\$80)
- September: the conflict widens as Houthi forces in Yemen escalate attacks on Saudi Arabia, including reported strikes near the Petrolina east–west pipeline — Brent breaks back above \$100 and has held in the low-to-mid \$100s since

In short, today's oil price reflects a geopolitical risk premium far more than any underlying shortage in physical supply.

3. Latest Institutional Forecasts (September 2026 Summary)

Institution	Date	Key Forecast	Note
Goldman Sachs	Sep 2026	December Brent baseline \$85 (2026) / \$80 (2027); WTI \$80 / \$75. Warns of upside to \$120 if Middle East shipping attacks intensify	Up \$5 from prior
HSBC	Sep 8–13, 2026	2026 Brent average raised to \$90 (Q4: \$95); 2027 to \$85; long-term (2028+) to \$75. "Stalemate" scenario could reach \$120	Prior: \$80 → \$90
Citi	Sep 3, 2026	Q3 Brent average raised to \$86 on longer-than-expected delay in reopening Hormuz. Q4 held at \$70, 2027 held at \$65	Prior: \$80 → \$86

Commerzbank	Sep 2026	Year-end Brent target raised to \$85 (from \$75)	—
Bank of America	Sep 2026	H2 2026 average \$83; 2027 \$75; up to \$150 possible under severe energy-infrastructure damage	—
EIA (U.S. Energy Info. Admin.)	Sep 9, 2026 (incl. Aug update)	2026 WTI average raised to \$84.65 (from \$80.88 in August); Brent to \$91.01. Assumes ~5.7m bbl/d of Middle East production remains offline in Q4	Aug EIA: WTI \$80.88 (prior \$76.26)
OCBC	⚠ Needs verification	Most recent confirmed public note (Jul 2, 2026) actually LOWERED Q3/Q4 Brent from \$85/\$80 to \$75/\$75, citing Hormuz normalization. A September re-upgrade could not be confirmed in this review	See Section 3-6 below
Reuters survey (8 analysts)	Jul 23, 2026 (update of April poll)	2026 supply-deficit estimate raised to 1.5m bbl/d — exactly double the April survey's 750k bbl/d. 2027 seen flipping to a 1.9m bbl/d surplus	Driven by Gulf export normalization, OPEC+ easing cuts, US/Latin America supply growth, and softer China demand (HSBC: –780k bbl/d in 2026, –550k bbl/d in 2027)

3-1. Goldman Sachs

Goldman has held its December 2026 Brent baseline at \$85 (up \$5 from its prior call, with WTI raised in step), while warning that prices could spike as high as \$120 if attacks on Middle East shipping intensify. Notably, even as spot prices have run close to \$100, the bank's full-year average baseline remains comparatively conservative at \$85.

3-2. HSBC

HSBC raised its 2026 Brent average from \$80 to \$90 (with Q4 seen reaching \$95), lifted its 2027 forecast sharply from \$65 to \$85, and raised its long-term assumption to \$75. Senior analyst Kim Fustier wrote that the market is “unlikely to rebalance until the middle of 2027.” Under the bank's worst-case “stalemate” scenario, Brent could reach \$120.

3-3. Citi

On September 3, Citi raised its Q3 Brent average forecast from \$80 to \$86, citing a longer-than-expected delay in reopening the Strait of Hormuz. Q4 was held at \$70 and the 2027 average at \$65. Citi noted that Iran has “every incentive” to break the blockade quickly given its currency slide and lost oil revenue, and it maintains a base case of short-term escalation followed by a deal in Q4.

3-4. Commerzbank / Bank of America (cross-check)

Around the same time, Commerzbank raised its year-end Brent target from \$75 to \$85, while Bank of America put its H2 2026 average at \$83 (2027: \$75, with up to \$150 possible under severe energy-infrastructure damage). Major banks' H2 2026 forecasts now cluster in roughly the \$83–\$90 range — there is little disagreement on direction; the debate has narrowed to timing of normalization.

3-5. EIA (U.S. Energy Information Administration)

In its August Short-Term Energy Outlook, the EIA raised its 2026 WTI average from \$76.26 to \$80.88 (+6.0%) and Brent from \$81.91 to \$86.81. Its September outlook raised both again, to WTI \$84.65 and Brent \$91.01 — citing roughly 400 million barrels of global inventory drawdown since the start of the year, and an assumption that Middle East production disruptions will average about 5.7 million bbl/d in Q4.

3-6. OCBC — ⚠ Needs Verification (Source Conflict)

The original source material (from an earlier conversation) stated that “OCBC raised its year-end Brent forecast from \$75 to \$80 in September, saying the bottleneck is now diesel, not crude.” This review could not locate a September OCBC note supporting that claim. The most recent confirmed public OCBC note instead shows the opposite:

- July 2–3, 2026: citing normalizing Hormuz traffic after the US–Iran MOU, OCBC actually LOWERED its Q3 Brent forecast from \$85 to \$75, and its Q4 forecast from \$80 to \$75 (Yahoo Finance)
- The “bottleneck is diesel, not crude” framing appears to trace not to OCBC but to the subheading of a September Commerzbank comparison article (AOL.com: “Why diesel prices matter more than crude oil right now”) — the attribution may have been mixed up somewhere along the way

Recommendation: before citing an OCBC September figure in any report or model, verify it directly against OCBC's own research note (or re-search Bigdata.com for OCBC content dated mid-September or later).

3-7. Reuters Survey (8 Analysts)

In Reuters' regular analyst survey (dated July 23, 2026, based on 8 respondents):

- The 2026 global supply-deficit estimate was raised to 1.5 million bbl/d — exactly double the same survey's April estimate of 750,000 bbl/d
- 2027 is expected to flip to a 1.9 million bbl/d surplus
- Reasons cited for the 2027 reversal: normalization of Gulf exports as Hormuz traffic recovers, OPEC+ easing production cuts, resilient US/Latin American supply, and softer Chinese demand (HSBC cut its China demand forecast by 780,000 bbl/d for 2026 and 550,000 bbl/d for 2027, citing electrification and fuel switching)

4. Summary

Most institutions are converging on a similar picture: elevated oil prices through the rest of 2026 driven by geopolitical risk (Brent in the mid-\$80s to \$90s), followed by a swing back down in 2027 as the conflict cools and OPEC+/US supply recovers. H2 2026 forecasts cluster fairly tightly between \$83 (Bank of America) and \$90 (HSBC), so there is little disagreement on direction. That said, the entire forecast set hinges on a highly uncertain variable — the pace at which Hormuz and Red Sea shipping normalizes — so any further escalation on the Yemen front (Houthi–Saudi) or in the broader Iran conflict could push these forecasts higher again (both Goldman and HSBC explicitly flag \$120 as an upside scenario).

5. Note — A BBA Perspective

This is a good real-world case study in how a risk premium gets priced in. Looking at the futures curve (contango/backwardation), OPEC+ spare capacity, and inventory data (EIA weekly stocks) alongside these forecasts is a useful way to practice separating “geopolitical premium” from “fundamentals.”

One thing this review surfaced: even information tagged as “announced in September 2026” can carry an inaccurate original date (e.g., OCBC's actual note was from July) or a misattributed quote (the diesel comment's real source). As an analyst, when working from a secondhand summary, it's worth always cross-checking the original date and the original speaker.

Sources

Grouped by section, in order of first appearance.

Section 1 — Current prices

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Section 2 — Background

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- [11] exchangerates.org.uk, “Oil Price Forecast: Goldman Sees \$85 Brent Despite Weekly Rally” (Sep 13, 2026) <https://www.exchangerates.org.uk/news/47169/2026-09-13-oil-price-forecast-goldman-sees-85-brent-despite-weekly-rally.html>
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Section 3-2 — HSBC

- [14] Yahoo! Finance, “HSBC Raises 2026 Brent Forecast to \$90 as Hormuz Crisis Drags On” (Sep 10, 2026) <https://app.bigdata.com/documents/47EC34EFA042C134E4181A065CBE97C7?cnum=1>
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